# CLOSING STATEMENT

Cobalt Marketplace | New Orleans, LA

| | |
|---|---|
| **Property** | Cobalt Marketplace |
| **Settlement Date** | October 23, 2023 |
| **Buyer** | Beacon Hollow Investors |
| **Seller** | Harlan Street Capital |
| **Sale Price** | $112,880,000 |

## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Purchase price | $112,880,000 | | | |
| Earnest money deposit | | $870,494 | $870,494 | |
| Real estate tax proration | $990,379 | | | $990,379 |
| Rent proration | | | $430,777 | |
| Security deposits assumed | $543,476 | $543,476 | | |
| Prepaid rents | | | $461,186 | $461,186 |
| Owner's title policy premium | $648,795 | | | |
| Lender's title policy premium | | $835,805 | $835,805 | |
| Escrow fee | $84,236 | | | $84,236 |
| Recording fees | | | $1,125,997 | |
| Transfer tax | $446,261 | $446,261 | | |
| Survey | | | $651,012 | $651,012 |
| Legal fees - Buyer | $71,703 | | | |
| Legal fees - Seller | | $382,435 | $382,435 | |
| Broker commission | $510,702 | | | $510,702 |
| Loan origination fee | | | $917,480 | |
| Lender legal | $675,385 | $675,385 | | |
| Appraisal fee | | | $282,650 | $282,650 |
| Environmental report | $510,290 | | | |
| Property condition report | | $858,753 | $858,753 | |
| Tax escrow deposit | $218,988 | | | $218,988 |
| Insurance escrow deposit | | | $340,533 | |
| Replacement reserve deposit | $1,067,452 | $1,067,452 | | |
| Utility deposits | | | $186,049 | $186,049 |

Report generated 10/23/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Legal fees - Buyer | $112,880,000 | | | |
| Legal fees - Seller | | $441,551 | $441,551 | |
| Broker commission | $1,019,840 | | | $1,019,840 |
| Loan origination fee | | | $156,296 | |
| Lender legal | $818,328 | $818,328 | | |
| Appraisal fee | | | $255,972 | $255,972 |
| Environmental report | $214,893 | | | |
| Property condition report | | $395,901 | $395,901 | |
| Tax escrow deposit | $917,142 | | | $917,142 |
| Insurance escrow deposit | | | $99,176 | |
| Replacement reserve deposit | $219,462 | $219,462 | | |
| Utility deposits | | | $193,558 | $193,558 |
| Assumed vendor contracts credit | $371,793 | | | |
| Tenant improvement credit | | $246,569 | $246,569 | |
| Courier / wire fees | $545,539 | | | $545,539 |
| Municipal certificates | | | $1,062,111 | |
| Purchase price | $1,010,593 | $1,010,593 | | |
| Earnest money deposit | | | $462,737 | $462,737 |
| Real estate tax proration | $810,277 | | | |
| Rent proration | | $451,937 | $451,937 | |
| Security deposits assumed | $329,305 | | | $329,305 |
| Prepaid rents | | | $986,935 | |
| Owner's title policy premium | $1,075,807 | $1,075,807 | | |
| Lender's title policy premium | | | $558,529 | $558,529 |
| Escrow fee | $1,073,181 | | | |
| Recording fees | | $1,072,652 | $1,072,652 | |
| Transfer tax | $338,851 | | | $338,851 |
| Survey | | | $649,104 | |

Report generated 10/23/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Financial Analysis

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 5.70x on a trailing basis against a covenant minimum of 1.20x. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Effective gross income for the trailing period was $304,000, representing a 2.8% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Operating expenses totaled $212,000 or approximately 43.84 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.12% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $184,000, representing a 10.8% increase over the prior year.

## Financial Analysis

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 5.95% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $331,000 or approximately 11.35 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.43x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 6.84x on a trailing basis against a covenant minimum of 1.20x. Average rent is $20 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. Effective gross income for the trailing period was $253,000, representing a 13.0% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. The going-in capitalization rate of 8.06% reflects the in-place income and the stabilized occupancy assumption.

## Valuation Discussion

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Average rent is $20 per square foot with parking at a ratio of 4 spaces per 1,000 square feet.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Debt service coverage ratio was 6.56x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Assumed vendor contracts credit | $112,880,000 | | | |
| Tenant improvement credit | | $879,680 | $879,680 | |
| Courier / wire fees | $488,064 | | | $488,064 |
| Municipal certificates | | | $741,914 | |
| Purchase price | $836,487 | $836,487 | | |
| Earnest money deposit | | | $347,353 | $347,353 |
| Real estate tax proration | $745,317 | | | |
| Rent proration | | $1,127,400 | $1,127,400 | |
| Security deposits assumed | $624,145 | | | $624,145 |
| Prepaid rents | | | $246,690 | |
| Owner's title policy premium | $532,635 | $532,635 | | |
| Lender's title policy premium | | | $229,560 | $229,560 |
| Escrow fee | $601,877 | | | |
| Recording fees | | $120,277 | $120,277 | |
| Transfer tax | $810,452 | | | $810,452 |
| Survey | | | $210,465 | |
| Legal fees - Buyer | $1,127,641 | $1,127,641 | | |
| Legal fees - Seller | | | $32,514 | $32,514 |
| Broker commission | $508,412 | | | |
| Loan origination fee | | $893,318 | $893,318 | |
| Lender legal | $1,031,988 | | | $1,031,988 |
| Appraisal fee | | | $562,940 | |
| Environmental report | $721,481 | $721,481 | | |
| Property condition report | | | $501,640 | $501,640 |
| Tax escrow deposit | $303,759 | | | |
| Insurance escrow deposit | | $541,033 | $541,033 | |
| Replacement reserve deposit | $427,074 | | | $427,074 |
| Utility deposits | | | $825,292 | |

Report generated 10/23/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Valuation Discussion

Effective gross income for the trailing period was $76,000, representing a 10.5% increase over the prior year. Operating expenses totaled $54,000 or approximately 9.60 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 6.52% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 8.0% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Operating expenses totaled $245,000 or approximately 38.14 per square foot, with real estate taxes representing the largest line item.

## Valuation Discussion

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $348,000, representing a 10.4% increase over the prior year. Operating expenses totaled $386,000 or approximately 24.85 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 5.27x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Average rent is $20 per square foot with parking at a ratio of 32 spaces per 1,000 square feet. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

## Income and Expense Review

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Operating expenses totaled $424,000 or approximately 28.95 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $429,000, representing a 11.1% increase over the prior year. The going-in capitalization rate of 5.16% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $106,000, representing a 14.0% increase over the prior year. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $20 per square foot with parking at a ratio of 10 spaces per 1,000 square feet.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

# Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Cobalt Marketplace Owner LLC

By: Anthony Foster Title: Authorized Signatory Date: 10/23/2023

_____

Blue Nail Studio

By: Tina Jackson Title: Managing Member Date: 10/23/2023

## Exhibit A - Property

Cobalt Marketplace, 6857 Meadow Court, New Orleans, LA 92602. Parcel containing approximately 30.40 acres, together with all improvements thereon.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only